

Business Goals :

1. Revenue (\$) [from sales of the product]

Examples :

\$0 for Year 1

\$100,000 for Year 2

....

2. Growth (%)

Example : Grow sales revenue by (say) 10% per year
excellent!

3. Profit (\$) or Net Income

Year 1 : \$0 (or negative)

Year 2 : —

....

4. Profit Margin (%) = $\frac{\text{Net income or Net Profit} \times 100 \%}{(\text{Sales}) \text{ Revenue}}$

5. Return on Investment = $\frac{\text{Sales Revenue}}{\text{Invested capital}} \times 100 \%$

The business goals, particularly (1) & (2) above, have to be defined in relation to the Market for the product $\Rightarrow$ Market Strategy :

TIM 80C, Lecture # 6, (4/16/2026)

Agenda :

1. Market Strategy
2. HW # 2
3. Office Hours (Zoom) : see syllabus
on Canvas home-page

Instructor

TA (Fariha)

Tue : 3:30-6:30 PM

1. Market Strategy (MS) is a clear statement, based on research, of 5 components as follows:

1. The total size (\$) of the available market (by year), and the annual growth rate (%) of the market
Size $\equiv$ Sales Revenue

2. Segment the market with respect to
(a) the types of products
(b) the types of customers
(c) for each combination of (product, customer) determine the annual size (\$), and growth rate (%)

Example : Microsoft Office / Operating System products

Year : ~ 2015 (say)

Total size (US) = \$20 Billion (say) : Sales Revenue for entire Market

Growth = 3-5% per year

Market Segmentation or Sales Revenue Map

↑ Market or customer segmentation ↓	Large Enterprises	\$5B (say) +3%/yr						
	Medium Enterprises					- Sales (\$) - Growth rate (%)		
	Small Enterprises		\$1B -5%/yr					
	Small Offices (SOHO)							
	Consumers							
		Product 1 (XP)	Product 2 (Vista)	Product 3 On-Line (Cloud)	.	.	.	.
					.	.	.	.
		Product Segmentation						

3. Current "players" (or competitors) in the market, and the relative size of each player

Example : Coffee (~ 1990)

Total size $\approx$ \$ 11 Billion (US)

Kraft (%) : 37% of the market
Nestlé (%) : 34% of the market
P & G (%) : 24%
other : 5%

4. Decide on the target market segments for your new product.

- which market segments does the start-up plan to target (or sell products to) ?
- what share (%) of the segments does the start-up plan to capture ?

Example : Target

MS Office example	{	capture 5% of	$\equiv (5\%) (\$1 \text{ Billion})$
		the market segment	
		(small enterprises, Product 2)	$= \$ (0.05) (\$10^9)$
		MS segmentation	$= \$ (5) (10^7)$
			$= \$ 50 \text{ M}$

This is our Sales Revenue Business Goal

2. HW # 2

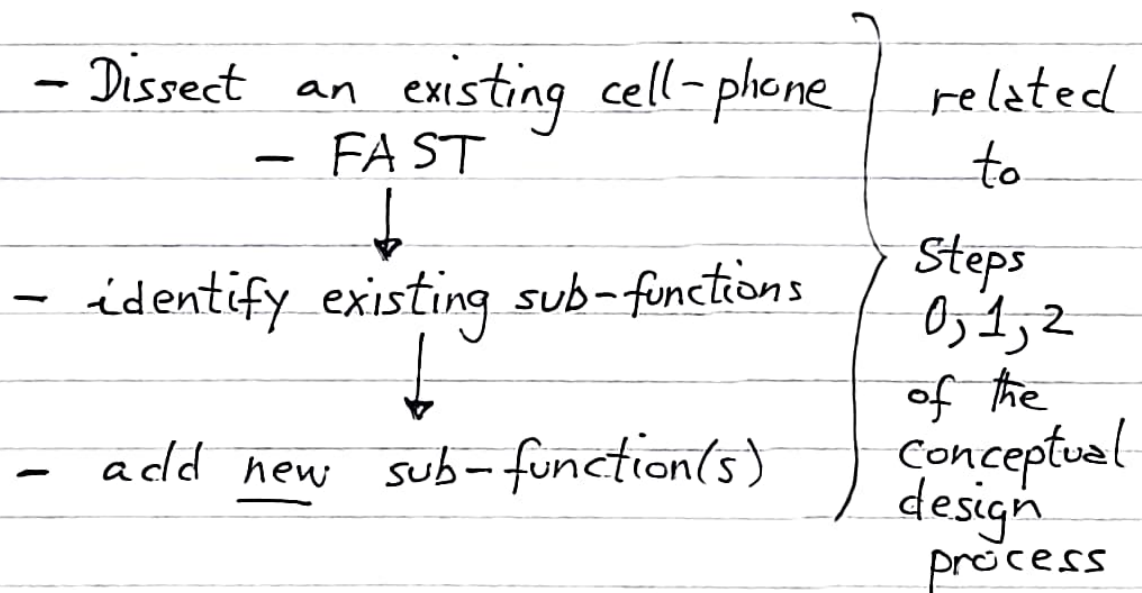
Problem 1 :

Resources :

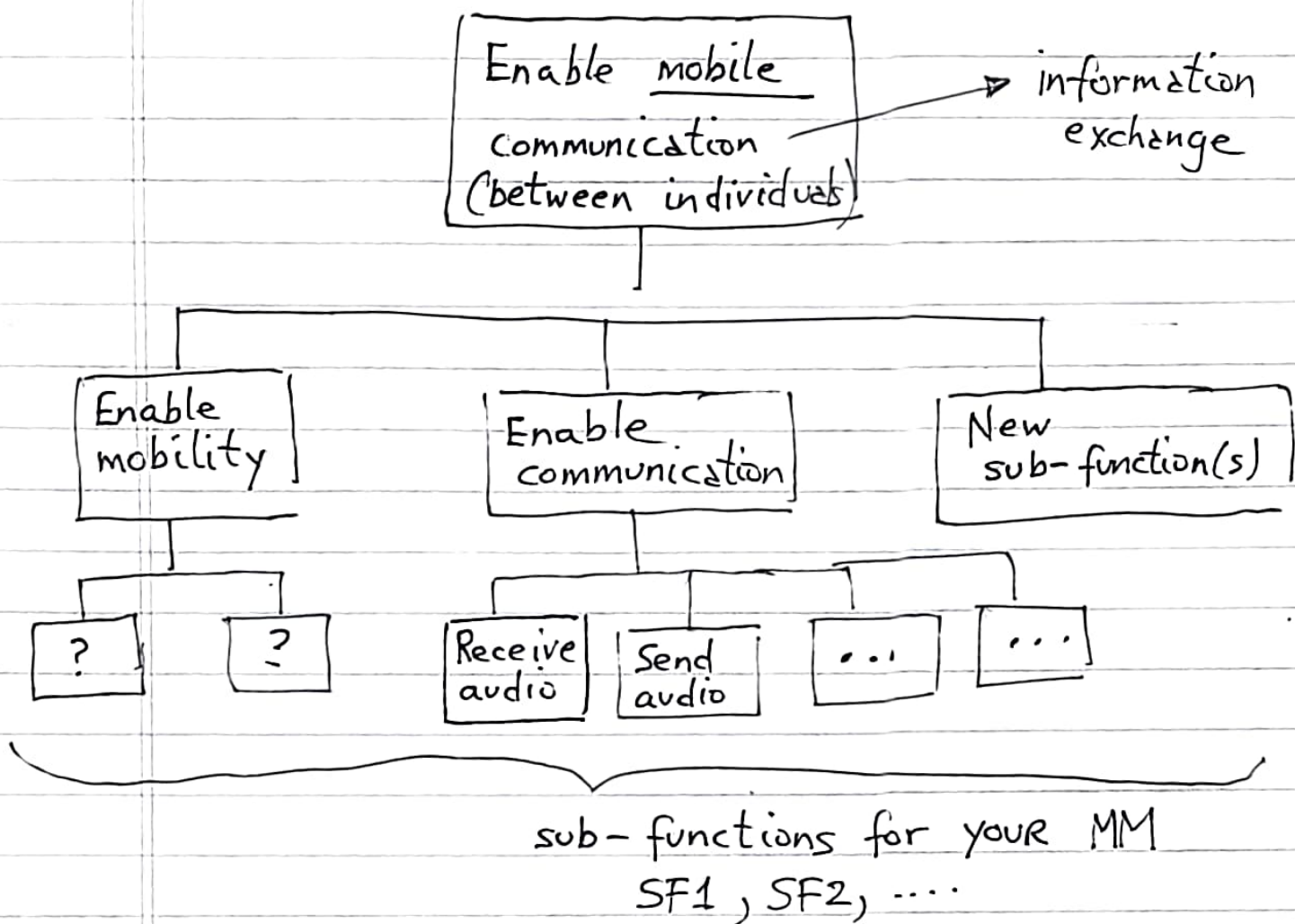
- class notes
 - Product Conceptual Design Flow Chart
 - Function Structure handout: Establishing functions: study the Automatic Tea Maker example.
-

A new cell-phone

How do you create a Function structure
(Step 2 in the Product Conceptual Design Process)



Step 2: FS for the cell-phone



Morphological Matrix (Steps 3, 4)

